

Technical Analysis, Reports, and Paper-Trading Workflow

A process-first module for turning charts, reports, and news into disciplined practice.

Module purpose
Turn the live/paper-trading discussion into a repeatable workflow: prepare, map the chart, create a trade ticket, simulate execution, and review the process before risking capital.

Ideal length	Audience	Student output
90-120 minutes	Beginner to intermediate traders	Daily plan + 20-trade paper journal

Conversation source
Prepared from the April 21, 2026 class transcript. External references were added to convert the live discussion into a student-safe tutorial.

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1. Lesson snapshot

The conversation kept returning to structure: trend lines, microstructure, weekly reports, daily reports, news, and paper trading. This tutorial turns that into a repeatable workflow. The student should not feel like every chart is a new emergency. Each trade idea must pass through the same routine.

Conversation idea	Student-ready version	Teaching reason
Important trend lines.	Draw only the levels that will change a decision: support, resistance, breakout, invalidation.	Too many lines become visual noise.
Microstructure is very important.	Watch how price behaves at levels: speed, rejection, absorption, retest, and spread behavior.	Market behavior at a level matters more than the line itself.
Weekly and daily reports.	The report gives context before the market opens; the chart gives execution after the market opens.	Separates preparation from impulse.
Paper trade live later.	Paper trading is a structured simulation with a ticket, thesis, target, invalidation, and review.	Without a journal, paper trading becomes pretend gambling.

Learning objectives

- Build a daily market-prep checklist from reports, news, and chart levels.
- Draw a minimal chart map with support, resistance, and invalidation.
- Create a trade ticket before any paper entry.
- Use paper trading to measure process quality, not ego.
- Review each paper trade for thesis, execution, risk, and emotional state.
- Explain why more access to day trading does not reduce trading risk.

2. The five-stage workflow

Stage	Question	Output
1. Weekend context	What major themes, levels, and catalysts matter this week?	One-page weekly report with key levels and scheduled events.
2. Morning brief	What changed overnight and what is scheduled today?	Asia/Europe, U.S. premarket, macro calendar, earnings, sector news.
3. Chart map	Where would I be wrong?	Support, resistance, VWAP/mean area if used, session high/low, invalidation.
4. Paper execution	Does price behave the way the thesis requires?	A simulated entry with exact reason, stop/invalidation, target, and size.
5. Review	Did I follow the plan?	Journal score and one concrete lesson.

Baby-step rule

The first goal is not profit. The first goal is to prove the student can follow a plan for 20 paper trades without changing rules mid-trade.

3. Technical analysis as probability work

Technical analysis should be presented as the study of market-generated data: price, volume, trend, volatility, and trader behavior. It is not fortune telling. A level is a hypothesis: if price reaches this area, I expect a certain behavior; if the behavior does not appear, the idea is invalid.

Tool	What it should answer	Common beginner mistake
Trend line	Is price respecting a directional structure?	Forcing a line through every candle.
Support/resistance	Where did supply/demand previously change behavior?	Treating a level as a wall instead of a zone.
Volume	Was participation present at the move or level?	Calling every high-volume bar bullish or bearish.
Microstructure	How does price trade inside the level?	Ignoring spreads, retests, failed breakouts, and speed.
News/report context	Why might participants care today?	Trading headlines without checking the chart.

4. Paper trade ticket

Field	Student must write before entry
Instrument	Ticker/contract, trading venue, and whether it is stock, ETF, future, or option.
Thesis	One sentence: I expect price to do X because Y.
Catalyst/context	News, earnings, macro data, report level, session behavior, or options-chain context.
Entry trigger	The exact behavior required before simulated entry.
Invalidation	The level or event that proves the idea wrong.
Target	Where the idea should be reviewed or exited on paper.
Risk unit	How much paper risk is allowed. Use the same unit every time.
Emotional state	Calm, rushed, tired, angry, overconfident, or distracted.

Regulatory update to teach carefully

As of April 2026, FINRA adopted new intraday margin standards replacing the old pattern day trader framework, with an effective date of June 4, 2026. This may change access, but it does not make day trading safer.

5. Review rubric

Score	Meaning	Review question
5	Clean process	Did I define thesis, entry, invalidation, and target before entry?
4	Small flaw	Was the flaw minor and fixable?
3	Mixed	Did I follow some rules but improvise important details?
2	Bad process	Did I enter from emotion, news panic, or fear of missing out?
1	No trade discipline	Was this gambling behavior dressed as analysis?

6. Student worksheet: 20 paper trades

Before any real-money trading discussion, complete 20 paper trades. Grade the process, not the profit. The same trade ticket must be used every time.

#	Instrument	Thesis	Entry trigger	Invalidation	Target	Result	Process score
1							
2							
3							
4							
5							

Completion standard

A passing student can explain the plan before entry and the lesson after exit without using the words lucky or should have.

External source stack for students

The source titles below are clickable in most PDF readers. They were selected because they are official, regulator-backed, exchange-backed, or institutionally useful for student verification.

ID	Source	Why it belongs in the tutorial
S1	CMT Association/CFA Institute Research Foundation - Technical Analysis: Modern Perspectives cmtassociation.org	Defines technical analysis as the study of market-generated data and market participant behavior.
S2	SEC - Day Trading: Your Dollars at Risk sec.gov	Regulator warning that day trading can involve severe financial losses and stress.
S3	FINRA - Understanding the New Intraday Margin Requirements finra.org	Current investor-facing explanation of the 2026 replacement of PDT rules with intraday margin monitoring.
S4	FINRA Regulatory Notice 26-10 finra.org	Official notice: new intraday margin standards effective June 4, 2026, with phase-in ending October 20, 2027.
S5	Investor.gov - Understanding Order Types investor.gov	Supports order-type discipline in the paper-trading workflow.
S6	CME Group - Trading Simulator cmegroup.com	Practice environment for futures and options strategies using delayed real market data.